



★ PERSONAL LOAN SYSTEM — APPLICATION FLOW

🧩 PHASE 1: USER REGISTRATION & LOGIN

1. Customer Registration

1. User enters mobile, email, password
2. System sends OTP
3. User verifies OTP
4. Account created
5. User logs in

Why: Identity validation + security

🧩 PHASE 2: LOAN APPLICATION

2. Apply for Loan

Customer fills:

- Personal details
- Employment details
- Income details
- Loan amount + tenure

System saves application with status: **APPLIED**

3. Auto Eligibility Check

System calculates:

- Age check
- Income check
- FOIR
- CIBIL check
- Existing loan check
- Defaulter check

If FAIL → Status: REJECTED (show reason)

If PASS → Status: ELIGIBLE

4. Customer Uploads Documents

Customer uploaded required docs:

- Aadhaar
- PAN
- Salary slips
- Bank statement
- Photo

Status → **DOC_PENDING**

PHASE 3: DOCUMENT VERIFICATION (Loan Officer)

5. Loan Officer Review

Loan Officer sees applications with **DOC_PENDING** status.

They verify:

- Aadhaar/PAN
- Salary slips authenticity
- Bank statements
- Employment details

Possible Outcomes:

1. **DOC_APPROVED** → Sent to Underwriter
2. **DOC_RETURNED** → Customer must reupload
3. **DOC_REJECTED** → Application closed

If approved: Status → **DOC_APPROVED**

PHASE 4: UNDERWRITER REVIEW

6. Underwriter Evaluates Risk

Underwriter sees:

- All verified documents
- Income, FOIR
- CIBIL score
- Past loan history
- Employment stability

Possible Outcomes:

1. **APPROVED** → moves to Admin
2. **REJECTED** → application closed

Status → **UNDERWRITER_REVIEW** → **APPROVED**

PHASE 5: ADMIN APPROVAL & SANCTION

7. Admin Reviews Application

Admin performs:

- ✓ Compliance checks
- ✓ Final validation
- ✓ Interest rate confirmation
- ✓ Product configuration checks

Admin Issues Sanction Letter

- Loan amount
- Tenure
- ROI
- EMI
- Terms & conditions

Status → **SANCTION_SENT**

PHASE 6: CUSTOMER AGREEMENT SIGNING

8. Customer Accepts Loan Terms

Customer views sanction letter and clicks:

✓ **ACCEPT** → Agreement generated → E-sign

✗ **REJECT** → Application closed

After e-sign, Status → **AGREEMENT_SIGNED**

PHASE 7: DISBURSEMENT

9. Disbursement Officer Processing

Disbursement team:

- Validates customer bank account
- Confirms no open flags
- Releases funds via NEFT/IMPS

Status → **DISBURSED**

PHASE 8: LOAN ACCOUNT ACTIVATION

10. EMI Schedule Auto-Generated

System calculates:

- EMI
- Principal breakdown
- Interest breakdown
- Due dates

Ledger entries created for all months.

Loan becomes: **ACTIVE**

PHASE 9: REPAYMENT + LEDGER UPDATE

11. Monthly EMI Processing

For each EMI:

- Interest posted
- Principal updated
- Outstanding reduced
- Ledger updated

If EMI is paid:

Status → "PAID" for that installment

If EMI missed:

Status → **OVERDUE**

Late fee applied

Collection team notified



PHASE 10: OVERDUE & COLLECTION MANAGEMENT

12. Collection Flow

If EMI overdue:

1. Send reminder
2. Auto-calls / SMS
3. Collection officer follow-up
4. PTP (Promise to Pay) recorded

If > 90 days overdue →

Status → **DEFAULTED**

PHASE 11: LOAN CLOSURE

13. Final EMI Paid

When outstanding balance = 0:

- Ledger updated
 - Closure certificate generated
 - Status → **CLOSED**
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FINAL FLOW SUMMARY (SHORT VERSION)

CUSTOMER → SYSTEM

1. Register & Login
2. Apply Loan → ELIGIBLE
3. Upload documents → DOC_PENDING

LOAN OFFICER

1. Verify docs → DOC_APPROVED

UNDERWRITER

1. Risk check → APPROVED

ADMIN

1. Sanction Letter → SANCTION_SENT

CUSTOMER

1. E-sign → AGREEMENT_SIGNED

DISBURSEMENT OFFICER

1. Disburse loan → DISBURSED

SYSTEM

1. Generate EMI schedule → ACTIVE

CUSTOMER

1. EMI payment / Overdue flow

SYSTEM

1. Loan closure → CLOSED